

Odyssey Partners; and Wesray), the European firms and buyout groups (Hanson Trust, Imperial Chemical, Electrolux, Unilever, Nestlé, etc.), and the individual corporate raiders with sizable bankrolls (David Murdock, Donald Trump, Sam Hyman, Paul Bilzerian, the Bass brothers, the Reichmanns, the Hafts, Rupert Murdoch, Boone Pickens, Carl Icahn, Asher Edelman, et al.) any company, large or small, is up for grabs.

The popularity of the leveraged buyout, or LBO, through which entire companies or divisions are “taken private”—purchased by outsiders or by current management with money that’s borrowed from banks or raised via junk bonds.

The phenomenal popularity of these junk bonds, as first invented by Drexel Burnham Lambert and now copied everywhere.

The advent of futures and options trading, especially of the stock indexes, enabling “program traders” to buy or sell bushels of stocks in the regular stock markets and then reverse their positions in the so-called futures markets, throwing around billions of dollars for tiny incremental profits.

And throughout all this tumult, SS Kresge, a moribund five-and-dime company, develops the K mart formula and the stock goes up forty-fold in ten years; Masco develops its one-handle faucet and goes up 1,000-fold, becoming the greatest stock in forty years—and who would have guessed it from a faucet company? The successful fast growers turn into tenbaggers, the whisper stocks go bankrupt, and investors receive their “Baby Bell” shares from the breakup of ATT and double their money in four years.

If you ask me what’s been the most important development in the stock market, the breakup of ATT ranks near the top (this affected 2.96 million shareholders), and the Wobble of October probably wouldn’t rank in my top three.

Some things I’ve been hearing lately:

I’ve been hearing that the small investor has no chance in this dangerous environment and ought to get out. “Would you build your house over an earthquake?” one cautious advisor asks. But the earthquake isn’t under the house, it’s under the real estate office.

Small investors are capable of handling all sorts of markets, as long as they own good merchandise. If anyone should worry, it’s some of the oxymorons. After all, the losses of last October were only losses to people who took the losses. That wasn’t the long-term investor. It was the margin player, the risk arbitrageur, the options player, and the portfolio manager whose computer signaled “sell” who took the losses. Like a cat who sees himself in a mirror, the sellers spooked themselves.

I’ve been hearing that the era of professional management has brought new sophistication, prudence, and intelligence to the stock market. There are 50,000